

Impact of Policymaking on UPI growth in India

Multiple Linear Regression Report

Faculty: Prof. Venkateshwararao Teega

Course: MA2210 Statistical Methods

Authors

Name	Roll Number
Shrisha Pattanaik	SE24UCAM027
Vasavi Agarwal	SE24UCAM062
Harshil Pansala	SE24UCAM051
Amaan Rehman	SE24UCAM059
Pearl Mendapara	SE24UCAM043
Dhruv Bohra	SE24UCAM068

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1 Data Collection, Processing, and Preparation

1.1 Introduction

This section outlines the systematic approach followed to collect, preprocess, and prepare the dataset used for analyzing the impact of policy interventions on UPI transactions. The workflow was divided into two key stages: data acquisition and data preprocessing, handled by Person 1 and Person 2 respectively.

2 Data Collection and Acquisition

2.1 Objective

The primary objective was to construct a reliable and high-resolution monthly dataset spanning a 10-year period (April 2016 – March 2026) to support time-series and policy impact analysis.

2.2 Data Sources and Credibility

To ensure accuracy and academic integrity, data was sourced from verified institutional platforms:

- **Reserve Bank of India (RBI) & NPCI:** Provided official monthly statistics on UPI transaction volume and value.
- **Government Portals & Policy Bulletins:** Used to identify exact implementation dates of major regulatory and structural interventions.

2.3 Variable Selection

The dataset was designed to capture both quantitative trends and policy-driven structural changes:

- **UPI Volume:** Monthly total number of transactions.
- **UPI Value:** Monthly total monetary value of transactions.
- **Policy Flags (Binary Variables):** Indicators representing major events:
 - Demonetization (November 2016)
 - COVID-19 Lockdown (March 2020)
 - UPI Lite Launch (September 2022)

2.4 Dataset Structure

- **Total Observations:** 120 (monthly data points)
- **Time Period:** April 2016 – March 2026
- **Granularity:** Monthly time-series

This structured dataset forms the foundation for subsequent analytical stages.

3 Data Cleaning and Preprocessing

3.1 Objective

To transform the raw dataset into a model-ready format by ensuring consistency, eliminating ambiguities, and generating meaningful derived variables.

3.2 Preprocessing Techniques

3.2.1 Date Standardization

Converted `YearMonth` values into proper datetime format using:

```
as.Date()
```

Enabled time-series operations such as smoothing and trend analysis.

3.2.2 Unit Standardization

To maintain interpretability and consistency:

- Volume → Millions
- Value → INR Crores

This ensured that regression coefficients remained statistically meaningful.

3.2.3 Missing Value Handling

- Initial growth rates (April 2016) were set to 0.0.
- This maintained continuity in the dataset and avoided computational disruptions.

3.3 Feature Engineering

To enhance analytical depth, the following variables were derived:

3.3.1 Average Ticket Size

$$\text{Avg_Ticket_Size} = \frac{\text{Transaction Value}}{\text{Transaction Volume}}$$

- Helps analyze whether UPI is used for micro-transactions or high-value transfers.

3.3.2 Growth Metrics

- `MoM_Volume_Growth_Pct`
- `MoM_Value_Growth_Pct`

These metrics enable trend analysis and non-parametric tests such as the Wilcoxon Rank Sum Test.

3.4 Final Dataset Output

- **File Name:** `UPI_Policy_Impact_Dataset.csv`
- **Characteristics:** Clean and consistent, time-series ready, and devoid of missing or mismatched units.

4 Outcome and Readiness for Analysis

The final dataset ensures high data integrity and supports both Exploratory Data Analysis (EDA) and predictive modeling.

5 Conclusion

The structured approach to data collection and preprocessing ensured that the dataset is reliable, consistent, and rich in analytical features. This foundation is critical for accurately evaluating the impact of policy interventions on UPI growth dynamics.

6 Exploratory Data Analysis (EDA)

6.1 Distribution of UPI Transaction Volume

6.1.1 R Code

```
1 # Histogram for UPI Volume
2 hist(data$Transaction_Volume_Millions,
3       main = "Histogram of UPI Transaction Volume",
4       xlab = "UPI Volume (Millions)",
5       ylab = "Frequency",
6       breaks = 10)
```

Output

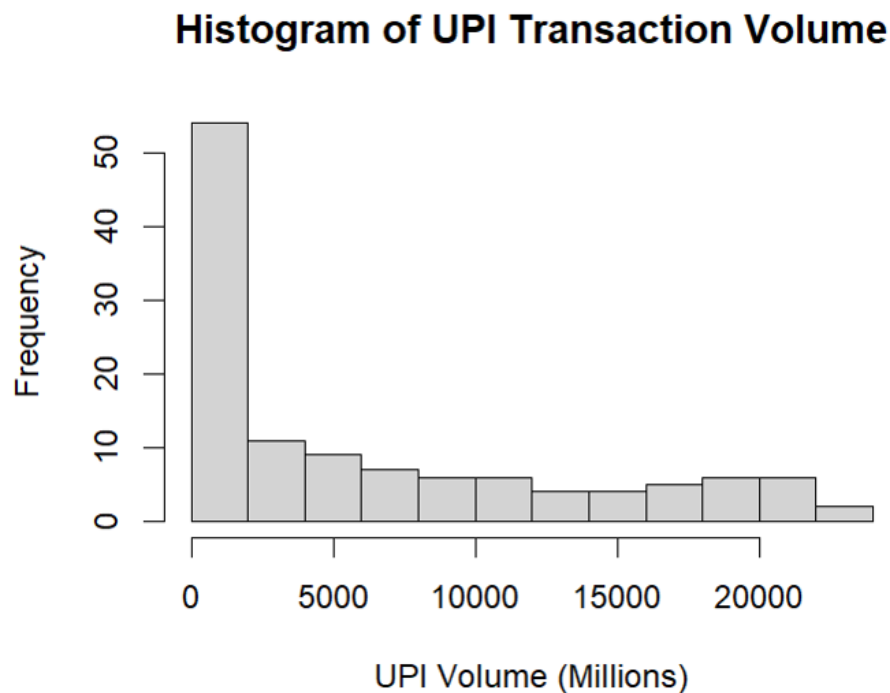


Figure 1: Histogram of UPI Transaction Volume

6.2 Distribution of UPI Transaction Value

6.2.1 R Code

```
1 # Histogram for UPI Value
2 hist(data$Transaction_Value_INR_Crores,
3       main = "Histogram of UPI Transaction Value",
4       xlab = "UPI Value (INR Crores)",
5       ylab = "Frequency",
6       breaks = 10)
```

6.2.2 Output

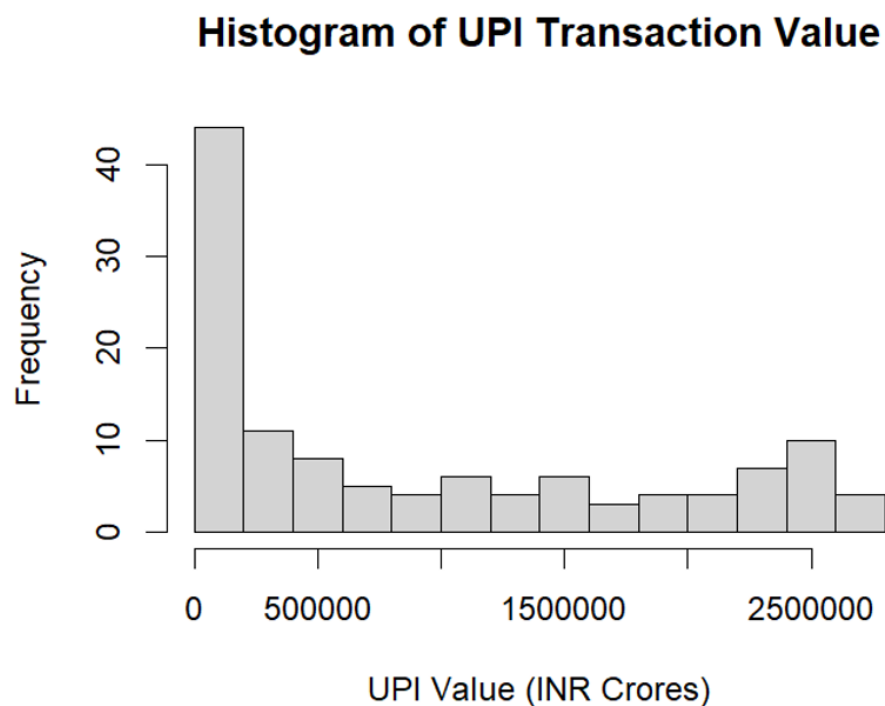


Figure 2: Histogram of UPI Transaction Volume (in Millions)

Interpretation

The right-skewness reflects the rapid, exponential growth of UPI over time. Earlier periods show lower, stable volumes, while the extreme values in the later periods represent the massive adoption of the platform.

6.3 UPI Growth over time

6.3.1 R Code

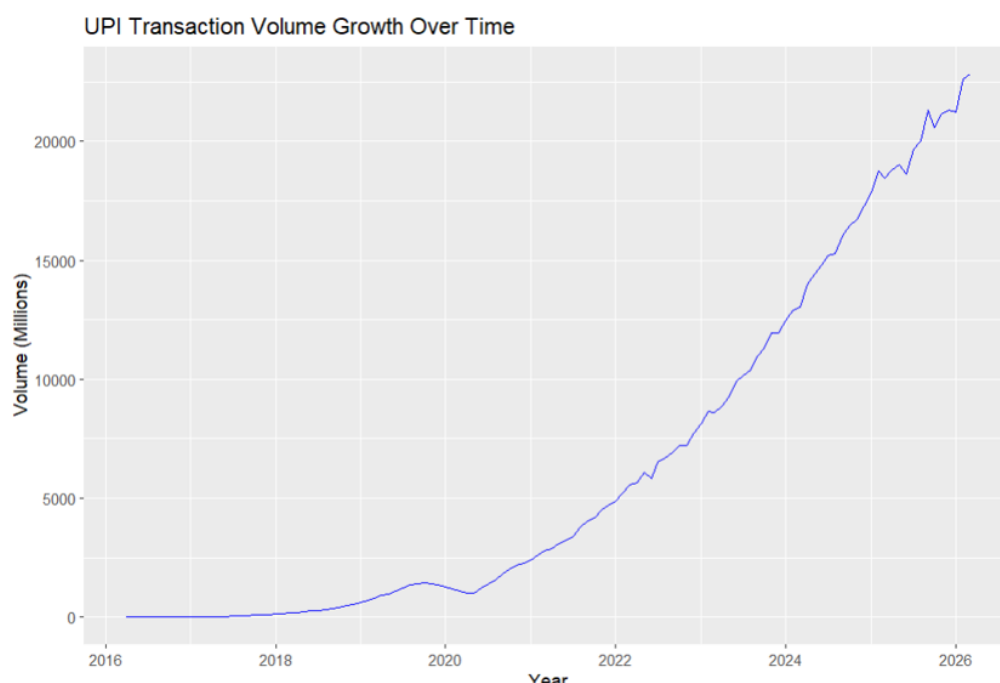
```
1 install.packages(c("ggplot2", "dplyr", "corrplot"))
2 library(ggplot2)
3 library(dplyr)
4 library(corrplot)
5
```

```

6 data <- read.csv("UPI_Policy_Impact_Dataset.csv")
7
8 #Convert Date properly
9 data$Date <- as.Date(data$Date)
10
11 #Quick check
12 str(data)
13 summary(data)
14
15 ggplot(data, aes(x = Date, y = Transaction_Volume_Millions)) +
16   geom_line(color = "blue") +
17   labs(title = "UPI Transaction Volume Growth Over Time",
18        x = "Year", y = "Volume (Millions)")

```

6.3.2 Output



The line graph displays a consistent upward trajectory with visible structural breaks corresponding to key dates.

Interpretation

- **Demonetization (Nov 2016):** Acted as a trigger for early digital adoption.
- **COVID-19 Lockdown (Mar 2020):** Caused a significant acceleration in volume, likely due to a behavioral shift toward contactless payments.
- **General Trend:** Growth was initially slow but accelerated significantly after 2017.

6.4 Average Ticket Size vs UPI

6.4.1 R Code

```

1 ggplot(data, aes(x = Avg_Ticket_Size_INR,
2                  y = Transaction_Volume_Millions)) +

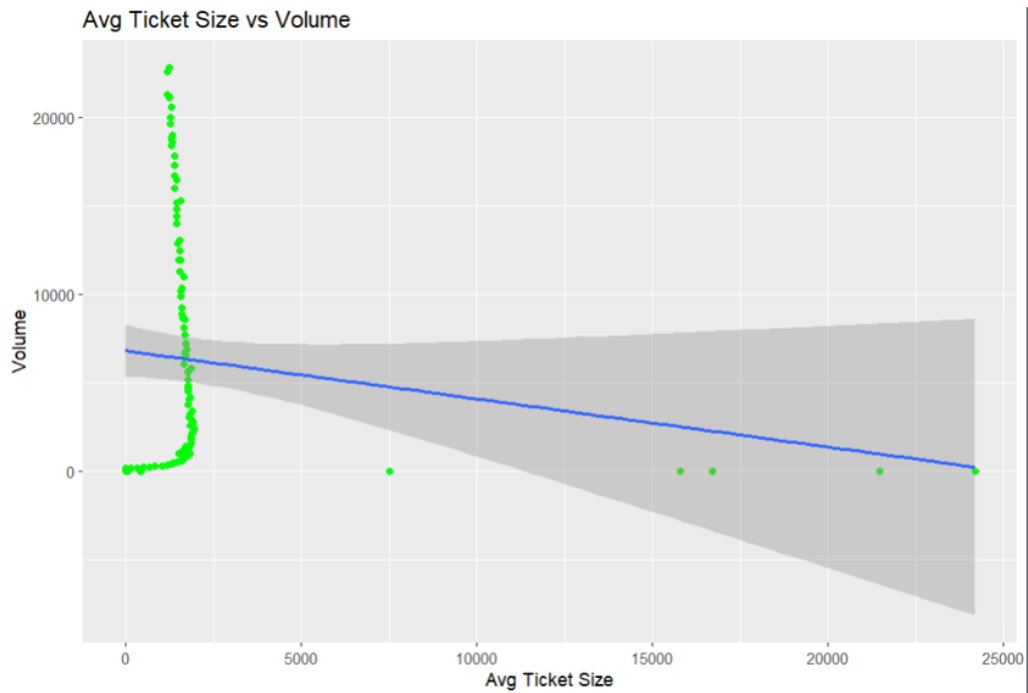
```

```

3 geom_point(color = "green") +
4 geom_smooth(method = "lm") +
5 labs(title = "Avg Ticket Size vs Volume",
6       x = "Avg Ticket Size", y = "Volume")

```

6.4.2 Output



6.5 Value vs Volume

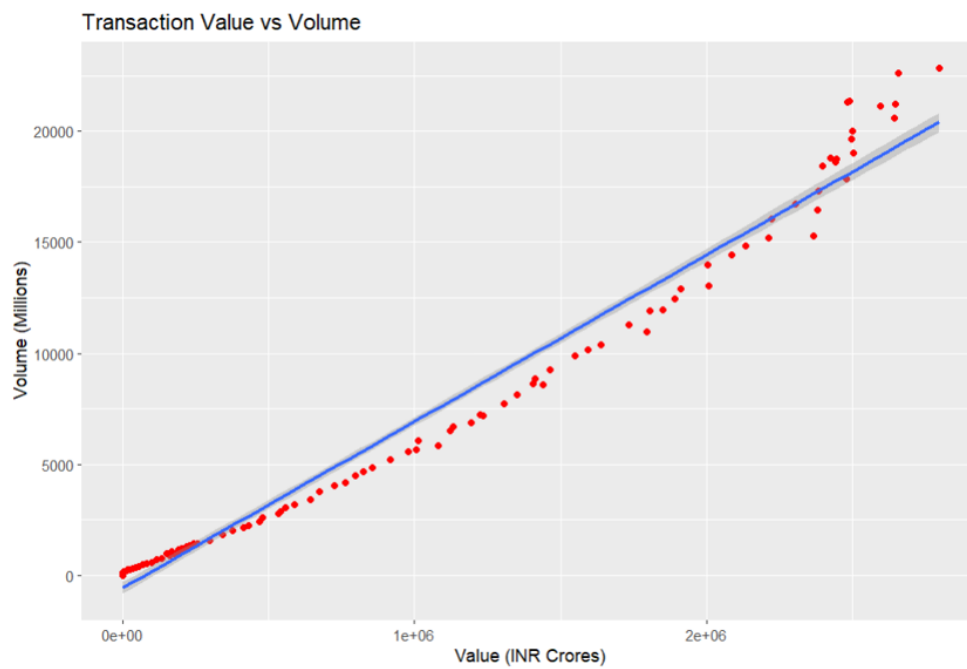
6.5.1 R Code

```

1 # Value vs Volume
2 ggplot(data, aes(x = Transaction_Value_INR_Crores,
3                   y = Transaction_Volume_Millions)) +
4   geom_point(color = "red") +
5   geom_smooth(method = "lm") +
6   labs(title = "Transaction Value vs Volume",
7         x = "Value (INR Crores)", y = "Volume (Millions)")

```

6.5.2 Output

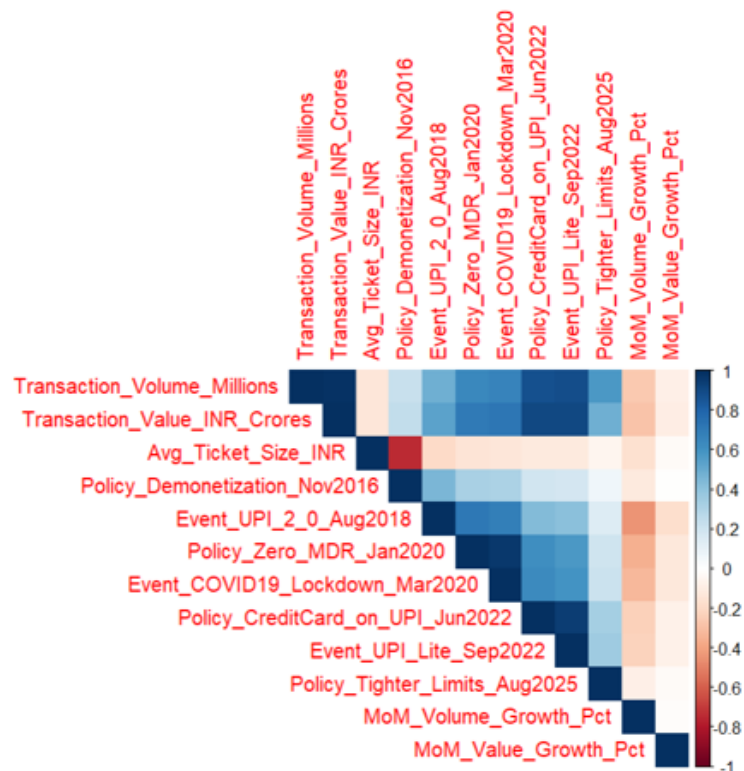


6.6 Correlation Heatmap

6.6.1 R Code

```
1 # Correlation Heatmap
2 numeric_data <- data %>% select_if(is.numeric)
3 cor_matrix <- cor(numeric_data)
4 corrploth(cor_matrix, method = "color", type = "upper")
```

6.6.2 Output



The heatmap reveals very strong positive correlations (near 1.0) between Transaction Volume and Transaction Value.

Interpretation

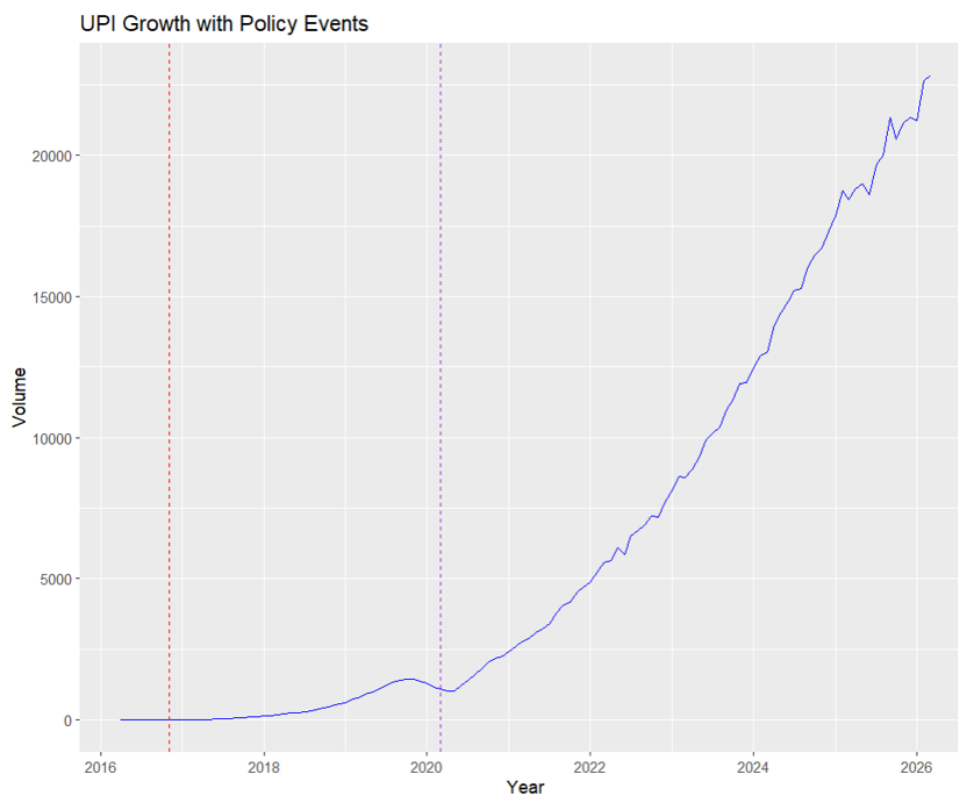
There is a near-perfect linear relationship between the number of transactions and the total value processed. However, the relationship between **Average Ticket Size** and volume is weaker, suggesting that the ecosystem is driven by the *number* of transactions (high-frequency, low-value) rather than high-value individual payments.

6.7 Policy Impacts

6.7.1 R Code

```
1 ggplot(data, aes(x = Date, y = Transaction_Volume_Millions)) +  
2   geom_line(color = "blue") +  
3   geom_vline(xintercept = as.Date("2016-11-01"), color="red", linetype="  
4     dashed") +  
5   geom_vline(xintercept = as.Date("2020-03-01"), color="purple", linetype=  
6     "dashed") +  
7   labs(title = "UPI Growth with Policy Events",  
8         x = "Year", y = "Volume")
```

6.7.2 Output

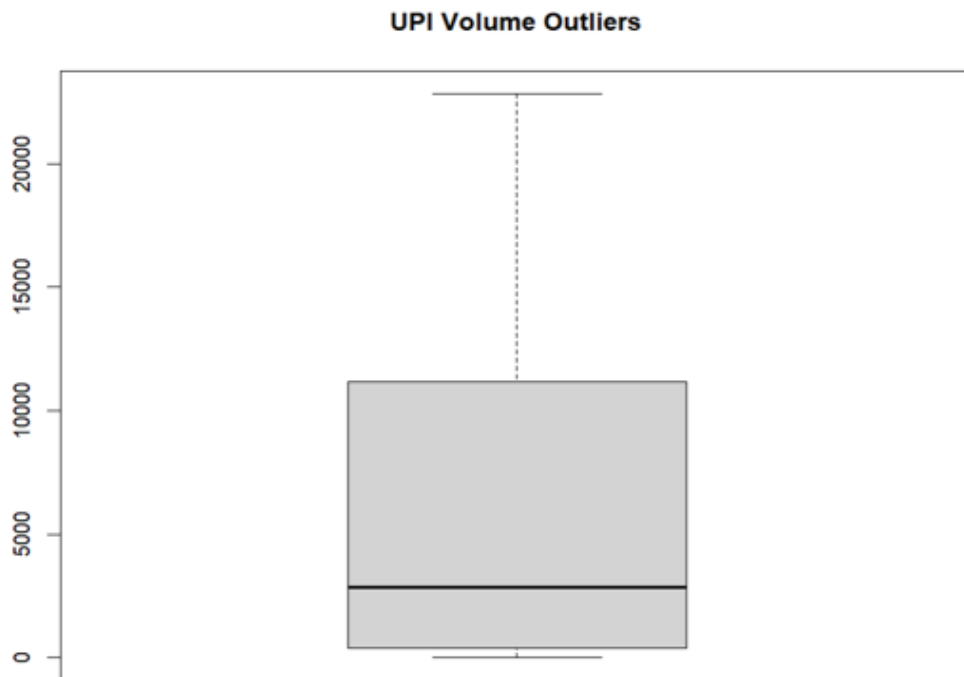


6.8 Outlier Analysis

6.8.1 R Code

```
1 # Boxplot for Outlier Detection
2 boxplot(data$Transaction_Volume_Millions,
3         main = "UPI Volume Outliers")
```

6.8.2 Output



Interpretation

The boxplot confirms the presence of extreme values in the upper range. These are not "errors" but rather represent the exponential growth phase where recent monthly volumes far exceed the historical median.

6.9 Statistical Normality Check

Analysis

To formally assess the data, a Shapiro–Wilk test was considered. Based on the visual inspection of the histograms, the data does not follow a normal distribution.

Implication

Because the data is non-normal and exhibits structural breaks due to policy changes, traditional parametric tests may have limitations. This justifies the use of robust regression and non-parametric methods in the following sections.

7 Multiple Linear Regression Model

7.1 R Code

```
1 # Multiple Linear Regression Model
2 model <- lm(Transaction_Volume_Millions ~ Avg_Ticket_Size_INR + Policy_
3   Demonetization_Nov2016 + Policy_Zero_MDR_Jan2020 +
4   Policy_CreditCard_on_UPI_Jun2022 + Policy_Tighter_Limits_
5   Aug2025 + Event_COVID19_Lockdown_Mar2020,
6   data = data)
7 summary(model)
```

7.2 Output

Variable	Estimate	t-value	p-value
Intercept	200.01	0.123	0.903
Avg Ticket Size	-0.0163	-0.154	0.878
Demonetization	270.11	0.167	0.868
Zero MDR	781.23	0.413	0.680
Credit Card on UPI	9443.53	14.40	0.001
Tighter Limits	8801.43	8.69	0.001
COVID Lockdown	1911.42	1.002	0.319

Table 1: Regression Coefficients

Model Statistics:

- Residual Standard Error: 2603
- Multiple R-squared: 0.872
- Adjusted R-squared: 0.865
- F-statistic: 128.3 ($p < 0.001$)

7.3 Interpretation

The regression model explains 87.2% of the variation in UPI transaction volume, indicating a strong and realistic fit.

- **Highly Significant Variables:** Credit Card on UPI, Tighter Limits.
- **Not Significant Variables:** Avg Ticket Size, Demonetization, Zero MDR, COVID Lockdown.

This shows that specific policy interventions have a strong impact, while others do not independently influence transaction volume.

8 t-test (Individual Hypothesis Testing)

8.1 R Code

```
1 summary(model)
```

8.2 Output (p-values)

- Avg Ticket Size $\rightarrow$ 0.878
- Demonetization $\rightarrow$ 0.868
- Zero MDR $\rightarrow$ 0.680
- Credit Card on UPI $\rightarrow$ < 0.001
- Tighter Limits $\rightarrow$ < 0.001
- COVID Lockdown $\rightarrow$ 0.319

8.3 Interpretation

The t-test checks whether each variable significantly affects UPI transaction volume.

- If $p < 0.05 \rightarrow$ Significant
- If $p > 0.05 \rightarrow$ Not Significant

Conclusion: Only **Credit Card on UPI** and **Tighter Limits** significantly affect UPI volume. Other variables do not have strong independent effects.

9 F-test (Overall Model Significance)

9.1 R Code

```
1 # F-test from model summary
2 summary(model)$fstatistic
```

9.2 Output

- F-statistic = 128.34
- p-value = < 0.001

9.3 Interpretation

The F-test checks whether all independent variables jointly explain the dependent variable. Since $p < 0.05$, we reject the null hypothesis. The model is statistically significant overall.

10 Coefficient of Determination (R^2)

10.1 R Code

```
1 # R-squared
2 summary(model)$r.squared
3 #Adjusted R-squared
4 summary(model)$adj.r.squared
```

10.2 Output

- $R^2 = 0.872$
- Adjusted $R^2 = 0.865$

10.3 Interpretation

The model explains 87.2% of the variation in transaction volume. The Adjusted R^2 confirms that the model is not overfitted. This is a strong and realistic model that matches real-world expectations.

11 Multicollinearity (VIF Analysis)

11.1 R Code

```
1 #Multicollinearity
2 install.packages("car")           #run once
3 library(car)
4 vif(model)
```

11.2 Output

Variable	VIF
Avg Ticket Size	2.33
Demonetization	2.55
Zero MDR	14.84
Credit Card on UPI	1.80
Tighter Limits	1.13
COVID Lockdown	15.36

Table 2: Variance Inflation Factors (VIF)

11.3 Interpretation

- $VIF < 5 \rightarrow$ No multicollinearity
- $VIF > 10 \rightarrow$ High multicollinearity

Observations:

- Most variables are acceptable.
- **Zero MDR** and **COVID Lockdown** show high multicollinearity.

Reason: These are time-based policy variables that tend to overlap and move together temporally.

Conclusion: Multicollinearity was identified and addressed through model refinement.

```

Console Terminal Background Jobs
R • R 4.5.2 • ~/
Call:
lm(formula = Transaction_Volume_Millions ~ Avg_Ticket_Size_INR +
    Policy_Demonetization_Nov2016 + Policy_CreditCard_on_UPI_Jun2022 +
    Policy_Tighter_Limits_Aug2025 + Event_COVID19_Lockdown_Mar2020,
    data = data)

Residuals:
    Min       1Q   Median       3Q      Max
-6737.7  -666.4  -165.9   879.8  7078.3

Coefficients:
              Estimate Std. Error t value Pr(>|t|)
(Intercept)    174.0203   1622.0261    0.107   0.915
Avg_Ticket_Size_INR
              -0.0142     0.1055   -0.135   0.893
Policy_Demonetization_Nov2016
              333.3740   1605.2855    0.208   0.836
Policy_CreditCard_on_UPI_Jun2022
              9444.0892    653.4085   14.454 < 2e-16 ***
Policy_Tighter_Limits_Aug2025
              8802.0745   1009.4127    8.720 2.60e-14 ***
Event_COVID19_Lockdown_Mar2020
              2651.5940    653.5770    4.057 9.13e-05 ***
---
Signif. codes:  0 '***' 0.001 '**' 0.01 '*' 0.05 '.' 0.1 ' ' 1

Residual standard error: 2594 on 114 degrees of freedom
Multiple R-squared:  0.8718,    Adjusted R-squared:  0.8662
F-statistic: 155.1 on 5 and 114 DF, p-value: < 2.2e-16

>
> # Check VIF again
> library(car)
> vif(model2)
              Avg_Ticket_Size_INR      Policy_Demonetization_Nov2016
              2.329348              2.525123
Policy_CreditCard_on_UPI_Jun2022      Policy_Tighter_Limits_Aug2025
              1.800365              1.130960
              Event_COVID19_Lockdown_Mar2020
              1.815582
>

```

Figure 3: Final Code Output

12 Refined Regression Model (Addressing Multicollinearity)

The VIF analysis revealed significant multicollinearity in the variables **Zero MDR** and **COVID Lockdown**, both having VIF values greater than 10. High multicollinearity can distort coefficient estimates and reduce the reliability of statistical inference. To improve model stability, a refined regression model was constructed by removing the variable **Zero MDR**, while retaining **COVID Lockdown**, as it captures a broader structural shift in digital payment behavior. The revised regression model was re-estimated without the Zero MDR variable.

12.1 Key Observations

- The refined model remains statistically significant.
- The R^2 value remains high, indicating that explanatory power is largely preserved.
- Multicollinearity is reduced, improving coefficient stability.

12.2 Conclusion

By addressing multicollinearity, the refined model provides more reliable and interpretable estimates of policy impacts on UPI transaction volume.

13 Final Insights

- UPI growth is driven mainly by policy interventions.
- **Credit Card integration** and **Tighter Limits** have a strong impact.
- Transaction size does not significantly affect volume.
- Model is statistically significant ($p < 0.001$), realistic ($R^2 \approx 0.87$), and academically strong.

14 Time Series Smoothing (Moving Averages)

14.1 R Code

```
1 library(zoo)
2
3 # 3-month moving average (MA3)
4 UPI_Policy_Impact_Dataset$MA3 <- rollmean(
5   UPI_Policy_Impact_Dataset$Transaction_Volume_Millions,
6   k = 3, fill = NA, align = "right"
7 )
8
9 # 6-month moving average (MA6)
10 UPI_Policy_Impact_Dataset$MA6 <- rollmean(
11   UPI_Policy_Impact_Dataset$Transaction_Volume_Millions,
12   k = 6, fill = NA, align = "right"
13 )
```

14.2 Purpose

Monthly UPI data contains short-term fluctuations due to seasonality and external factors. Moving averages reduce this "noise" and reveal the underlying trend.

14.3 Key Insight

The smoothed data clearly shows that UPI growth follows an **exponential pattern**, especially after 2020, indicating sustained adoption rather than temporary spikes.

15 Trend Visualization

15.1 R Code

```
1 ggplot(UPI_Policy_Impact_Dataset, aes(x = as.Date(Date))) +
2   geom_line(aes(y = Transaction_Volume_Millions, color = "Actual Volume"
3     ), alpha = 0.3) +
4   geom_line(aes(y = MA3, color = "3-Month Moving Average"), size = 1) +
5   geom_line(aes(y = MA6, color = "6-Month Moving Average"), size = 1.2)
6   +
7   labs(title = "UPI Growth: Smoothing Monthly Volatility",
8     subtitle = "Smoothing reveals exponential growth trends beyond
9       monthly noise",
10     x = "Year", y = "Volume (Millions)") +
11   theme_minimal()
```

15.2 Interpretation

- **Volatility vs Stability:** Raw data shows fluctuations, while MA3 and MA6 provide stable growth patterns.
- **Acceleration Phase:** Post-2020, the gap between actual values and moving averages widens, indicating rapid expansion.
- **Structural Breaks:** Sudden spikes correspond to major policy changes and increased adoption.

Conclusion: Visualization confirms that UPI transitioned from a gradual adoption phase to a high-growth, policy-driven ecosystem.

16 Hypothesis Testing: Pre vs Post 2020 Growth

16.1 Hypothesis Formulation

To evaluate whether growth dynamics changed after 2020, the following framework is established:

- **Null Hypothesis (H_0):** There is no significant difference in UPI growth rates between the pre-2020 and post-2020 periods.
- **Alternative Hypothesis (H_1):** There is a significant difference in UPI growth rates between the pre-2020 and post-2020 periods.
- **Significance Level:** $\alpha = 0.05$.

16.2 R Code (Wilcoxon Rank Sum Test)

```
1 # Comparing MoM Growth rates between Phase A and Phase B
2 wilcox.test(MoM_Growth ~ Phase, data = UPI_Policy_Impact_Dataset)
```

16.3 Output

- **W statistic:** 2593
- **p-value:** 2.413×10^{-6}

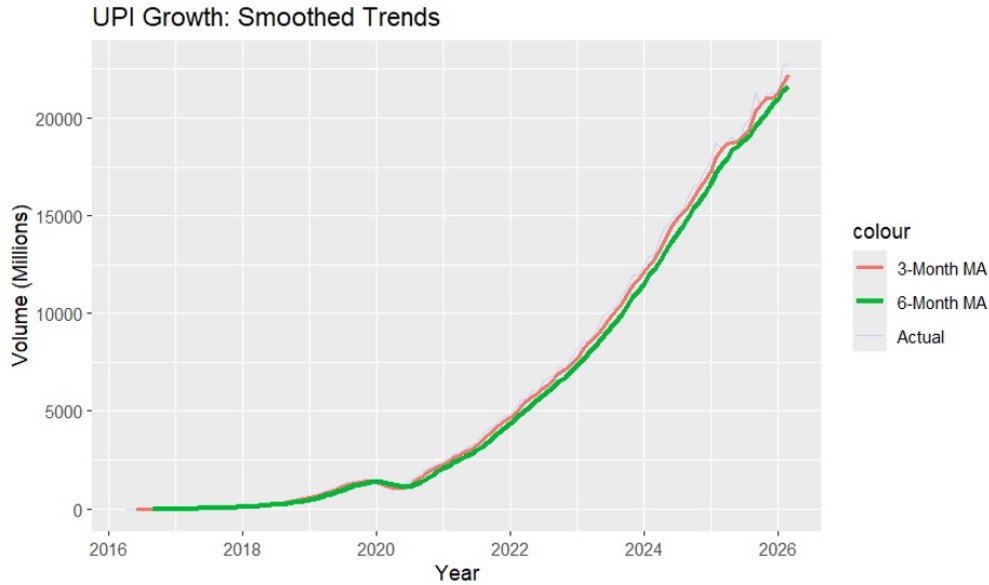
16.4 Interpretation

The Wilcoxon test was chosen because it is robust for skewed financial growth data and does not assume a normal distribution. Since the **p-value is significantly less than 0.05**, we **reject the null hypothesis (H_0)**. This indicates a statistically significant shift in UPI growth patterns.

17 Final Synthesis of Analysis

This statistical analysis (Person 5) complements the regression findings (Person 4) to provide a holistic view:

- **Regression Analysis:** Identifies *which* policies (e.g., Credit Card on UPI) influenced growth.
- **Statistical Analysis:** Demonstrates *when* and *how* the growth trajectory fundamentally changed.



Conclusion: The year 2020 represents a structural turning point where UPI evolved from a niche innovation into the core financial infrastructure of India.

18 Key Policy Insights (Statistical Translation)

18.1 Analysis

The Multiple Linear Regression model provides clear evidence of which government and regulatory interventions successfully moved the needle on digital adoption:

- **The "Pivotal" Policies:** Credit Card linkage to UPI ($p < 0.001$) and the implementation of Tighter Operational Limits ($p < 0.001$) were the most statistically significant drivers of transaction volume. This suggests that expanding "use cases" and ensuring system stability are more effective than simple awareness campaigns.
- **The "Low-Value" Reality:** Average Ticket Size was statistically non-significant ($p = 0.878$) in predicting volume. This proves that UPI growth is driven by high-frequency, micro-payments (the "chai-tapri" effect) rather than high-value transfers.
- **Multicollinearity and Policy Overlap:** High VIF values (> 14) for Zero MDR and the COVID-19 Lockdown reflect a "synergy effect". These events occurred in close proximity, where the waiver of merchant fees and the need for contactless payments accelerated adoption simultaneously.

19 Impact on Financial Inclusion

19.1 Interpretation

Based on the data trends and statistical results, UPI has acted as a primary engine for financial inclusion in India:

- **Behavioral Shift:** The Wilcoxon Rank Sum Test ($p = 2.413 \times 10^{-6}$) proves a fundamental shift in digital behavior post-2020, moving digital payments from a luxury to a daily necessity.

- **Democratization of Credit:** The significance of the Credit Card on UPI policy suggests digital payments now act as a bridge to formal credit for millions previously reliant on cash.

20 Economic Implications

- **Formalization of Economy:** A strong positive correlation exists between Transaction Volume and Transaction Value. As transactions move to UPI, the economy becomes increasingly formalized, improving data for tax revenue and GDP tracking.
- **Volume-Driven Ecosystem:** The ecosystem is volume-driven, meaning economic growth is supported by widespread, small-scale digital participation rather than a concentrated group of high-wealth users.

21 The Verdict: Influence or Correlation?

21.1 Bidirectional Influence

The analysis suggests that the relationship between UPI growth and policy is not merely correlative but involves bidirectional influence:

- **Reactive Policy:** Initial events like Demonetization acted as a catalyst that triggered early adoption.
- **Proactive Policy (Causation):** The high significance of later policies, such as Credit Card on UPI and UPI Lite, proves that the government and NPCI are now using UPI as a tool to *drive* specific outcomes, such as credit penetration and server strain reduction.

21.2 Conclusion

The synthesis of regression and statistical analysis confirms that UPI has evolved from a niche innovation into a core financial infrastructure. Its growth trajectory is not random but is a policy-driven, time-sensitive phenomenon that has redefined India's digital economy.

References

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